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China Economics | Asia Pacific

FY GDP Trimmed to 4.6%; Faster Budget Rollout to Lift 2H Growth

Key Takeaways

- We revise down our full-year GDP forecast by 20bps to 4.6%, in view of below-target 4.3%Y 2Q growth (Consensus: 4.5%Y)
- K-shape deepened further in June: High-tech production firmed on export strength, while domestic demand softened again.
- GDP deflator YoY rose to 1.5% in 2Q, led by selected export sectors and oil-intensive services, but may rollover on weak demand and fading oil impulse.
- Below-target 2Q growth may spur faster infrastructure rollout from 3Q, yet budget expansion remains unlikely given ~Rmb2trn in-budget fiscal impulse for 2H.
- 2H GDP YoY will likely rebound to ~4.6%: Besides faster budget rollout, lower oil prices would bring firmer global capex cycle and reduced upstream disruptions.

2Q GDP undershot at 4.3%, missing consensus and Beijing's target: Key drags were: (1) slower infrastructure push after 1Q front-loading, (2) oil drag on refining and petrochemical production, and (3) softer consumption on faded trade-in effects, a weak job market, and lingering property drag — outweighing **broadening export strength**. June activity data further underscored a deepening K-shape: resilient high-tech production and exports vs. sluggish domestic demand and investment.

Higher pressure on policy fine-turning, not budget expansion: The July Politburo will likely urge faster budget rollout, given the risk of full-year growth slipping below the 4.5–5.0% target. Policy focus should stay on AI and energy infrastructure, not consumption, amid intensifying US-China tech rivalry. A supplementary budget looks unlikely, with ~Rmb2trn of in-budget fiscal impulse still available for 2H.

20bps marked-to-market cut on our FY2026 GDP forecast, to 4.6%: We expect modestly firmer sequential growth in 2H, supported by: (1) faster budget deployment and (2) normalizing oil prices, which would lift external demand and ease drags on refining & petrochemicals. Combined with a low base, 2H YoY could reach 4.6%. Still, the weaker starting point warrants a modest full-year downgrade.

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Exhibit 1 : Marked-to-market cut on full-year GDP, to 4.6%



Source: CEIC, Morgan Stanley Research estimates

Exhibit 2 : Summary of activity indicators

	2026	1Q26	4Q25	3Q25	2Q25	1Q25
GDP (YoY, %)	4.3	5.0	4.5	4.8	5.0	5.0
QoQ sa, %	0.9	1.3	1.1	1.1		
Annualized QoQ sa, %	3.6	5.3	4.5	4.5		
By Industry, YoY%						
Primary Industry	3.7	3.8	4.2	4.0	3.9	3.7
Secondary Industry	3.0	4.9	3.4	4.2	4.5	5.0
Tertiary Industry	5.1	5.2	5.2	5.4	5.4	5.1
GDP Deflator, YoY%	1.5	-4.1	-0.6	-1.0	-1.0	-0.8
Primary Industry	-3.2	-1.9	-1.2	-3.9	-2.0	-0.9
Secondary Industry	2.9	-0.8	-2.0	-2.6	-2.5	-1.9
Tertiary Industry	1.2	0.4	0.5	0.3	0.2	0.0
Fixed Asset Investment (FAI)						
YoY% (excl. infrastructure)	5.3	4.5	4.1	5.7	4.6	6.1
Industrial Production (IP)						
Mining	-2.2	2.3	3.8	5.7	1.3	6.0
Manufacturing	6.0	4.4	4.0	6.0	4.8	6.4
Utility	7.4	7.6	5.3	3.5	6.8	4.3
Fixed Asset Investment (FAI)						
YoY% YTD	-5.7	-4.1	-1.6	1.7	-5.7	1.7
YoY%	-10.0	-10.7	-8.0	1.6	-9.7	1.7
Manufacturing	-3.2	-4.2	-4.3	4.9	-3.8	4.1
Infrastructure	-10.2	-10.8	-3.7	8.9	-8.6	9.2
Property	-24.2	-24.3	-20.1	-11.3	-23.0	-11.2
Retail Sales						
YoY%	1.0	-0.6	0.2	1.7	0.2	2.4
Auto	-16.1	-16.1	-15.3	-11.8	-15.9	-9.0
Housing Related Consumption	-8.6	-14.1	-14.0	-6.5	-11.8	-0.8
Mobile Phones	16.5	0.7	6.2	27.3	8.4	20.8
Gold	-3.4	-8.9	-21.3	11.7	-11.4	12.6
Goods Retail sales ex Consumer Trade-in Goods ex-Gold	4.3	3.5	4.2	3.1	4.0	2.6
Property Sector						
Sales	-13.4	-11.7	-9.1	-10.5	-11.8	-13.1
New Starts	-26.4	-22.7	-27.9	-20.7	-25.7	-22.8

Source: CEIC, NBS, Morgan Stanley Research

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